

Figure 3.7 Allowing More Offshore Oil and Gas Drilling

Source: This graph is attributed to Jenkins Research, LLC. The data source is from Pew Research Center.

Pew Research Center conducts periodic sentiment polls on the use of nuclear power and oil and gas drilling in the United States. The polls clearly show how recent events—especially those spectacularly displayed in the media—can change implicit assessments of disaster probabilities. For example, sentiment on the use of nuclear power in the US shifts from an even split in June 2010 to 52 percent opposed and 39 percent in favor in March 2011, at the time of the Fukushima disaster. Similarly, in March 2010, 63 percent favored and 31 percent opposed offshore oil and gas drilling. However, after the BP oil spill disaster in the Gulf of Mexico, the June 2010 poll numbers showed 44 percent favored and 52 percent opposed offshore drilling.

Perhaps you don't believe this would affect investors? All one needs to do is read the Franklin Templeton Annual Global Investment Sentiment Survey, which asked investors—after the fact—to estimate the S&P 500 index performance for 2009 and 2010.⁶ The survey said that 66 percent of investors believed the S&P 500 was down or flat in 2009, when the S&P was up 26.5 percent; 49 percent thought the market was down or flat in 2010, when the S&P was up 15.1 percent. The massive drawdown associated with the 2008 financial crisis obviously left a stinging—and available—impression on market participants.

Physical State

Are you a fellow coffee ~~addict~~ drinker? If we don't have our coffee in the morning, we feel sluggish, our heads start nodding, and crankiness abounds. And we are certainly not the exception. If you were to lay out a set of financials in front of us and demand an earnings forecast, we guarantee you that our answer would be highly dependent on our coffee consumption that morning. Physical state, while often overlooked by those discussing behavioral finance, is probably the most intuitive and compelling reason why a human expert can have the same set of facts, and yet arrive at different conclusions.